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No. 94-788

Supreme Court, U.S.
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In The
Supreme Court of the United States
October Term, 1994

CITY OF MILWAUKEE,

Petitioner,

v.

CEMENT DIVISION NATIONAL GYPSUM
COMPANY, et al.,

Respondents.

On Writ Of Certiorari To The
United States Court Of Appeals
For The Seventh Circuit

RESPONDENTS' BRIEF ON THE MERITS

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QUESTION PRESENTED

In a mutual fault, admiralty, collision case, is a party's fault a special or peculiar circumstance justifying the trial court's exercise of its discretion to deny recovery of prejudgment interest to that party?

LIST OF PARTIES

1. The List of Parties in Petitioner's Brief on the Merits is true and correct.
2. The following Respondents have parent corporations:
 - a. Allstate Insurance Company is a wholly owned subsidiary of Sears, Roebuck and Co.
 - b. Highlands Insurance Company is owned by Haliburton Company.
 - c. Insurance Company of North America (U.K.) Ltd. "G" A/o is owned by CIGNA Corporation.
 - d. Insurance Company of North America (U.K.) Ltd. "O" A/o is owned by CIGNA Corporation.
3. The balance of respondents are independent entities.

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STATEMENT OF THE CASE

Petitioner's Statement of the case is inaccurate or incomplete in several respects.

1. The settlement agreement between the parties, referred to in Petitioner's Statement (Pet. Brief 2), provided that the questions of whether prejudgment interest should be awarded, and, if so, the rate of interest would be submitted to the court for decision. (J.A. 46).

2. In its reversal, in addition to its decision concerning mutual fault, the Court of Appeals held that, "we refuse to recognize municipality status as a peculiar circumstance warranting the denial of prejudgment interest." (J.A. 13a). Petitioner has not appealed as to that holding.

SUMMARY OF THE ARGUMENT

A. The court prescribed rule in admiralty is that prejudgment interest is to be awarded, but discretion to deny prejudgment interest can be exercised where there are special or peculiar circumstances justifying its denial. The question presented in this case is quite simply whether a court can exercise discretion to deny prejudgment interest in a mutual fault, admiralty, collision case on the ground that the party seeking the prejudgment interest was at fault. A majority of lower courts hold that it cannot do so; a minority hold that it can do so.

B. The discretion to deny prejudgment interest is bounded by rules and principles of law, not the least of which is the precept that prejudgment interest is

designed to afford an injured party full and complete compensation. Prejudgment interest is compensation for the use (or the opportunity for use) of money from the date of injury/loss to the date of judgment. Discretion to deny prejudgment interest, because of the fault of the party seeking to be compensated for its loss, is patently inconsistent with the goal of fully compensating the party for its loss.

C. Since the adoption of the rule of true comparative negligence in admiralty in 1975, there is no longer any rationale for allowing discretion to deny prejudgment interest because of mutual fault. A rule permitting the exercise of such discretion would foster and encourage litigation because of uncertainty as to when and under what circumstances prejudgment interest would be denied.

D. Discretion to deny prejudgment interest in a mutual fault, admiralty, collision case creates an anomaly in a true comparative negligence regime. The rationale for awarding prejudgment interest is to achieve the goal of full compensation by converting time of accident damages (the amount of which is based upon the relative degree of fault of the parties) to time of judgment damages (that is, damages determined under true comparative negligence principles plus interest on *those* damages). Discretion to deny prejudgment interest, based solely on the mutual fault of the party seeking its recovery, would amount to a penalty.

E. Because the relative degree of the parties' fault prior to the accident is now determined under principles of true comparative negligence, a "bright line" rule

against denial of prejudgment interest is appropriate. An exception limited to instances where the party seeking interest has engaged in post-accident conduct (e.g., undue delay in prosecuting the action or assertion of frivolous claims), such that the interests of justice mandate a denial of prejudgment interest, would be consistent with this Court's prior decisions as well as decisions of a majority of lower courts addressing the issue, and would minimize litigation over prejudgment interest.

ARGUMENT

THE COURT OF APPEALS CORRECTLY HELD THAT, IN A MUTUAL FAULT, ADMIRALTY, COLLISION CASE, A DISTRICT COURT DOES NOT HAVE THE DISCRETION TO DENY PREJUDGMENT INTEREST BASED UPON THE FAULT OF THE PARTY SEEKING ITS RECOVERY.

- A. Prejudgment interest is the rule in admiralty collision cases. A majority of lower courts have held that mutual fault of the parties is not a special or peculiar circumstance justifying the exercise of a court's discretion to deny prejudgment interest. The Fifth and Eleventh Circuits have held that mutual fault is such a peculiar circumstance. Which is correct is the question presented to this Court.
 1. For nearly two centuries, this Court has recognized that in admiralty cases prejudgment interest is a necessary component of the measure of full compensation. *The Amiable Nancy*, 16 U.S. (3 Wheat) 546, 560 (1818); *The Anna Maria*, 15 U.S. (2 Wheat) 327, 335 (1817); *Del Col*

v. Arnold, 3 U.S. (3 Dall.) 333, 334 (1796); *The Umbria*, 166 U.S. 404, 421-22 (1897). It is well settled today that an award of prejudgment interest is the general rule in admiralty law. See: *Cement Division, National Gypsum Co. v. City of Milwaukee*, 31 F.3d 581, 583 (7th Cir. 1994) ("The general rule in admiralty, in order to fully compensate the plaintiff, is to award prejudgment interest from the date of the accident."); *Inland Oil and Transport Co. v. Ark-White Towing Co.*, 696 F.2d 321, 327 (5th Cir. 1983) (quoting *Noritake Co. v. M/V HELLENIC CHAMPION*, 627 F.2d 724, 728 (5th Cir. 1980)); *Parker Towing Co. v. Yazoo River Towing, Inc.*, 794 F.2d 591, 594 (11th Cir. 1986); *Alkmeon Naviera, S.A. v. M/V MARINA L*, 633 F.2d 789, 797 (9th Cir. 1980); *Oglebay Norton Co. v. CSX Corp.*, 788 F.2d 361, 367-68 (6th Cir. 1986), *cert. denied*, 479 U.S. 849 (1986). This Court has long approved of prejudgment interest in mutual fault cases. *The Manitoba*, 122 U.S. 97 (1887). Notwithstanding this Court's holding in *The Manitoba* and the general rule, lower courts have carved out an exception to the rule which allows a district court to exercise discretion to deny prejudgment interest when there exist special or peculiar circumstances which make it inequitable for the losing party to pay prejudgment interest. See: *Cement Division*, 31 F.3d at 583; *Inland Oil*, 696 F.2d 327; *Parker Towing*, 794 F.2d at 594; *Alkmeon Naviera*, 633 F.2d at 797-98; *Oglebay Norton*, 788 F.2d at 368.

2. The Circuit Courts addressing the issue of what constitutes a special or peculiar circumstance are in general agreement that 1) unwarranted delay in filing the action on the part of the party seeking the interest, and 2) bad faith/frivolous claims do constitute special or peculiar circumstances which justify the exercise of a court's discretion to deny prejudgment interest. *Inland Oil*, 696

F.2d at 327-328; *Alkmeon Naviera*, 633 F.2d at 797-798; *Cement Division*, 31 F.3d at 583. Circuit courts in the Sixth, Seventh, and Ninth Circuits have explicitly held that mutual fault does not constitute a peculiar circumstance justifying the denial of prejudgment interest in an admiralty collision case. *Anderson v. Whittaker Corp.*, 894 F.2d 804, 810 (6th Cir. 1990) (holding that neither mutual fault nor mutual fault combined with uncertainty as to claims or damages are peculiar circumstances precluding an award of prejudgment interest); *Cement Division*, 31 F.3d at 585 (holding that mutual fault does not constitute a peculiar circumstance); *Alkmeon Naviera*, 633 F.3d at 789 and n. 12 (awarding interest where plaintiff was forty percent at fault because the record showed no peculiar circumstances justifying denial and specifically stating in a footnote that denial of prejudgment interest on mutual fault grounds would seem no longer necessary since the abrogation of divided damages and would penalize a party twice for the same mistake). Subsequent cases in the Ninth Circuit have adhered to the *Alkmeon Naviera* rule. *Stevens v. F/V BONNIE DOON*, 655 F.2d 206, 209-210 (9th Cir. 1981); *Western Pacific Fisheries v. S/S PRESIDENT GRANT*, 730 F.2d 1280, 1288 (9th Cir. 1984). While the Third Circuit has not considered the question of mutual fault as a special or peculiar circumstance, it has stated that, "[g]enerally, exceptional circumstances exist *only* when the district court concludes that the party requesting interest has (1) unreasonably delayed in prosecuting its claim, (2) made a bad faith estimate of its damages that precluded settlement, or (3) not sustained any actual damages." (emphasis added). *Matter of Bankers Trust*, 658 F.2d 103, 108 (3rd Cir. 1981), *cert. denied*, 456 U.S. 961

(1982). The court cited *Alkmeon Naviera*, 633 F.2d at 797-98, in support thereof. Likewise, the Eighth Circuit has stated that the *only causes* for denying prejudgment interest would be where a party "was dilatory in bringing suit or if the suit was frivolous." *United States v. Motor Vessel Gopher State*, 614 F.2d 1186, 1190 (8th Cir. 1980). District courts in other circuits specifically have held that mutual fault is not a special or peculiar circumstance so as to justify a denial of prejudgment interest. *Granholm v. TFL EXPRESS*, 576 F. Supp. 435, 456-457 (S.D.N.Y. 1983) (wherein party 50% at fault who suffered all of the damages was granted prejudgment interest); *Matter of Getty Marine*, 1983 A.M.C. 550, 552 (E.D. Va. 1982) (wherein a party 70% at fault was granted prejudgment interest on its net recovery); *STARLIGHT I, Inc. v. Patriots Corp.*, No. 83-3783-Z, slip op. at 7 (D.Mass. Aug. 9, 1985) (wherein a party 30% at fault was granted prejudgment interest in order to fully serve "the purpose of compensating an injured party" (at p. 7)); *Complaint of B.F.T. No. Two Corp.*, 433 F. Supp. 854, 876 (E.D. Penn. 1977) (comparative fault of parties held no longer a consideration in awarding prejudgment interest because of *Reliable Transfer* proportionate fault rule and claimant in limitation of liability action awarded prejudgment interest despite 75% fault); *Lone Star Industries v. Mays Towing Co. Inc.*, 725 F. Supp. 440, 445 (E.D. Mo. 1989), *rev'd on other grounds*, 927 F.2d 1453 (8th Cir. 1991) (wherein a party's 40% fault was considered not to be a circumstance to justify the denial of prejudgment interest).

Only the Fifth and Eleventh Circuits, and district courts therein, have held that mutual fault constitutes a peculiar circumstance justifying the exercise of discretion to deny prejudgment interest. Prior to 1983, the Fifth

Circuit had approved of some awards of prejudgment interest in mutual fault settings. See, e.g., *National Marine Service, Inc. v. Talley*, 348 F.2d 589 (5th Cir. 1965), *Sinclair Refining Company v. SS GREEN ISLAND*, 426 F.2d 260 (5th Cir. 1970). It had also approved denials of prejudgment interest in some cases involving so-called genuine disputes over good faith claims in mutual fault settings. See, *Nat G. Harrison Overseas Corp. v. American Tug TITAN*, 516 F.2d 89, 97 (5th Cir. 1975), and cases cited therein. In 1983, the Fifth Circuit held that it had "consistently upheld denials of prejudgment interest in cases of apportioned fault." *Inland Oil*, 696 F.2d at 328. With respect to the "good faith or genuine dispute regarding liability" component, the *Inland Oil* court appears to have equated a good faith dispute to a finding of any degree of mutual fault because the court declined to define a dividing line in apportionment for upholding a denial of prejudgment interest on the ground of mutual fault as a peculiar circumstance. However, any focus on good faith dispute is totally inappropriate since Rule 11 of the Federal Rules of Civil Procedure should guarantee that every dispute will be a genuine dispute over a good faith claim by mandating that the attorney who signs a pleading certifies that: the pleading is not being presented for any improper purpose; the claims, defenses and contentions therein are warranted; the allegations and factual contentions have or are likely to have evidentiary support; denials are warranted or reasonably based on a lack of information or belief. 28 U.S.C.A. Rule 11(b) (1994). In *Inland Oil* the argument was made that "because a 'serious dispute' occurs any time there is a trial on the merits, this cannot be a justification for denying prejudgment interest." *Inland Oil*, 696 F.2d at 328. The Fifth

Circuit's response was that "a finding that a plaintiff was partially at fault weakens his equitable claim that his funds have been withheld by a recalcitrant party." *Id.* That response is really a nonsequitur, since a finding that a plaintiff is partially at fault lessens the amount of *damages* to which that party is entitled under comparative negligence principles. It should have no bearing on the interest *on those damages* to which the plaintiff is entitled under well established principles requiring full and complete compensation. The Eleventh Circuit, which once was a part of and generally follows the Fifth Circuit, has also held that the existence of a genuine dispute regarding liability is one peculiar circumstance which may warrant denial of prejudgment interest, *Parker Towing Co.*, 794 F.2d at 594, and that the existence of such a peculiar circumstance is generally assumed in cases of apportioned fault. *Id.*, citing *Inland Oil*, 696 F.2d at 328. In its consideration of prejudgment interest, that court neither considered nor cited any case outside of Fifth Circuit decisions.

In the instant case, the actual holding of the United States Court of Appeals for the Seventh Circuit, from which Petitioner brought its Petition and upon which this Court granted Certiorari, states as follows:

" , as a matter of law, the mutual fault of the parties should not constitute a reason to deny an award of prejudgment interest in admiralty."

Cement Division, 31 F.3d at 585, Pet. for Cert. at 9a. The Court also reiterated its ruling as follows:

" mutual fault of the parties in an admiralty collision case does not constitute a peculiar circumstance justifying the denial of prejudgment interest."

Cement Division, 31 F.3d at 586, Pet. for Cert. at 13a. It is noteworthy that the latter statement was footnoted as follows:

"This opinion was circulated before release to all judges in active service. See Circuit Rule 40(f). No judge favored a hearing *en banc*."

Cement Division, 31 F.3d at 586, Pet. for Cert. at 13a. The question for consideration by this Court is whether, in a mutual fault, admiralty collision case, a Court can exercise discretion to deny prejudgment interest to a party seeking its recovery because of that party's pre-accident/loss fault.

B. Discretion to deny prejudgment interest because of mutual fault is inconsistent with the general policy underlying civil litigation to fully compensate an injured party.

1. It is now a well established precept of civil law that prejudgment interest is designed to afford an injured party, generally the plaintiff, full and complete compensation from the day of the injury to the day of judgment. See: *Prejudgment Interest: Survey and Suggestions*, 77 Nw. U.L. Rev. 192 (1982) (hereinafter, "*Survey and Suggestions*"); 1 D. Dobbs, *Law of Remedies*, § 3.6(1) (1993). This Court has consistently recognized that prejudgment interest is an element of damages and is necessary to fully compensate the injured party (plaintiff). *Funkhouser v. J. B. Preston Co. Inc.*, 290 U.S. 163, 168 (1933); *Royal Indemnity Co. v. United States*, 313 U.S. 289, 295-97 (1941); *Miller v. Robertson*, 266 U.S. 243, 257-58 (1924). Implicit in the aim of achieving full compensation is that a party not

only recover the full measure of damages due as a result of the accident, but also that the party be compensated for the use of its damage recovery from the date of the accident:

Compensation is a fundamental principle of damages whether the action is in contract or in tort. . . . One who has had the use of money owing to another justly may be required to pay interest from the time the payment should have been made. Both in law and in equity, interest is allowed on money due. . . . Generally, interest is not allowed upon unliquidated damages. . . . [b]ut when necessary in order to arrive at fair compensation, the court in the exercise of a sound discretion may include interest or its equivalent as an element of damages. . . . (citations omitted)

Miller, 266 U.S. at 257-58.

2. This Court in *Miller* and other cases has held that when necessary to arrive at a fair compensation, the court may include interest. In so doing, this Court recognized the general principle that interest is necessary to place the injured or damaged party in the same position as it would have been were it not for the accident. A denial of prejudgment interest makes that party an involuntary creditor, without recourse, of the party owing interest because the latter had use of the former's money which actually was due from the time of the accident. Cf., *Matter of Oil Spill by the Amoco Cadiz*, 954 F.2d 1279, 1331 (7th Cir. 1992). It is counter-intuitive to hold on the one hand that a party is entitled to be fully compensated for its loss, but on the other hand that mutual fault justifies a denial of prejudgment interest. To the extent that the Petitioner

argues the latter point, its position is patently inconsistent with the principles of compensation underlying civil law developed by this Court.

3. The Petitioner, at pages 19-24 of its Brief on the Merits (hereinafter, "Pet. Brief"), raises several points which merit discussion in the context of the Respondents' right to complete compensation. Specifically, Petitioner argues that its liability for prejudgment interest stems from its "justified refusal" to settle the litigation during the first decade of its existence because it appeared that Petitioner would have no liability, and that an award of prejudgment interest in this context essentially penalizes a defendant (or any party) for continuing to litigate a matter.¹ Contrary to the emphasis placed by the Petitioner (and defendant in this case) on the defendant's perspective, the cases and other authorities cited in its Brief on the Merits explicitly recognize that prejudgment interest is an element of complete compensation due the plaintiff. See: *West Virginia v. United States*, 479 U.S. 305,

¹ Despite the fact that the Petitioner has chosen not to appeal the appellate court's determination that status as a municipality is not a peculiar circumstance justifying the denial of prejudgment interest, the Petitioner nonetheless continues to argue the issue to this court. Two points merit mention regarding this component of the Petitioner's argument. First, the Petitioner, by operating the Port of Milwaukee in which the accident took place as a proprietary enterprise, *Bagrowski v. American Export Isbrandtsen Lines*, 440 F.2d 502, 509 (7th Cir. 1971), is "assumed to have accepted the ordinary incidents of suits in such business," including the obligation to pay interest to the same degree as any private concern. *Standard Oil Co. v. United States*, 267 U.S. 76, 79 (1925). Second, like any other business, the Petitioner could have (and should have) procured insurance. It chose not to do so.

310 n. 2 (1987); *Osterneck v. Ernst & Whinney*, 489 U.S. 169, 175 (1989) ("we have repeatedly stated that prejudgment interest 'is an element of [plaintiff's] complete compensation.'"), citing *West Virginia*, 479 U.S. at 310 and n. 2 and *General Motors Corp. v. DeVex Corp.*, 461 U.S. 648, 655-656, and n. 10 (1983); *Monessen Southwestern R. Co. v. Morgan*, 486 U.S. 330, 335 (1988) ("Prejudgment interest is normally designed to make the plaintiff whole and is part of the actual damages sought to be recovered.", citing *West Virginia*, 479 U.S. at 310 and 310-311, n. 2).

West Virginia made clear that this Court proceeds from the well-established principle that prejudgment interest is an element of complete compensation, not designed to punish a party, but to make the party whole. *West Virginia*, 479 U.S. at 310 and n. 2. Clearly, the focus is on the plaintiff's interest in complete compensation, not – as argued by the Petitioner at pp. 19-23 of its Brief – on the defendant's perspective that prejudgment interest operates as a cost imposed on the defendant for litigating its claim, discourages the defendant from settling, etc. As a matter of fact, one authority cited by Petitioner speaks eloquently to the correct perspective from which prejudgment interest awards are to be assessed. The discussion of this perspective arises in the context of the historical reluctance of courts to award prejudgment interest on unliquidated damages:

"The rationale underlying the distinction between liquidated or reasonably ascertainable damages and unliquidated damages is that the defendant should not have to pay interest when he is unable to halt the accrual of interest by

paying the damages – damages which, if unliquidated, cannot be determined prior to judgment. The distinction makes the *defendant's* point of view crucial: as long as the defendant cannot determine the extent of damages, no interest is awarded.

"This emphasis on the defendant's perspective is misplaced. Interest is necessary to achieve full compensation even without such wrongdoing on the defendant's part as would make him liable for punitive damages. *Since interest is compensatory, the perspective of the plaintiff should determine the propriety of an interest award.* If the goal of civil litigation is, indeed, to provide full compensation to the plaintiff, then the defendant's uncertainty as to the amount of his liability should be irrelevant."

Survey and Suggestions, 77 Nw. U.L. Rev. at pp. 197-98. (emphasis added)

The Petitioner attempts to diminish the importance of the shift in this Court's focus from a balancing of the equities approach (which arguably considers the perspective of the defendant) to the rule in *West Virginia* that prejudgment interest is an element of plaintiff's complete compensation. *See*, Pet. Brief, p. 14 at n. 5. Petitioner states that this Court's rejection of the "balancing of the equities" approach in *West Virginia* leaves intact the "equitable and discretionary nature of prejudgment interest" as demonstrated by the Court's dicta that "'an equitable consideration such as laches' might bar 'an otherwise valid claim' for prejudgment interest." *Id.*

Petitioner misstates the Court's holding. *West Virginia* explicitly recognized the principle of prejudgment interest as an element of complete compensation, i.e., as an element of damages. That recognition does not alter a court's ability to deny prejudgment interest on the basis of post-accident action or inaction of the plaintiff, such as unreasonable delay in pursuing its rights or assertion of frivolous claims (*see discussion infra*). Petitioner's focus on the defendant's perspective (which is implicit in its arguments that an award of prejudgment interest is inappropriate when the defendant believes that it does not have liability and that an award of prejudgment interest penalizes a defendant for continuing to litigate) is simply a veiled attempt to return to the balancing of equities approach which this court specifically rejected in *West Virginia*. Petitioner should not be allowed to revisit that issue here.

In addition, a number of cases cited by Petitioner in its Brief recognize that the underlying purpose of prejudgment interest is to compensate the plaintiff for the use of its money between the time when the damages were incurred and the time of judgment. For example, in *Library of Congress v. Shaw*, 478 U.S. 310 (1986), this court addressed the rule of the United States Government's traditional immunity from interest in the context of an award of an attorney fee which included an increase in the lodestar to compensate for a delay in payment of the fee. Holding that such an award of increased compensation really constituted an award of interest prohibited by the "no-interest rule", this Court recognized that the function of interest is to compensate the plaintiff for the

loss of the opportunity to use the funds which constitute damages:

Respondent claims, however, that interest and delay represent more than mere semantic variations. Interest and a delay factor, according to the respondent, have distinct purposes: the former compensates for loss in the use of money, while the latter compensates for loss in the value of money.

We are not persuaded. Interest and the delay factor share an identical function. *They are designed to compensate for the belated receipt of money.* (emphasis added)

Id. at 322. In discussing how interest is computed, this Court further noted that "[a]n interest rate reflects not only the real opportunity cost of capital, but also the inflation rate. Thus, loss of value due to delay is an element of an interest adjustment." (citation omitted) *Id.* at n. 7. Earlier, in *Funkhouser*, 290 U.S. at 168, this Court recognized the concept that interest is designed to compensate for the time value of money: "the injured party has suffered a loss which may be regarded as not fully compensated if he is confined to the amount found to be recoverable as of the time of the breach [of contract] and nothing is added for the delay in obtaining the award of damages."

The discretion of a trial court is not unbridled but is to be exercised under law. *Amoco Cadiz*, 954 F.2d at 1334. "[D]iscretionary choices are not left to a court's 'inclination, but to its judgment; and its judgment is to be guided by sound legal principles.' " *Albemarle Paper Co. v. Moody*, 422 U.S. 405, 416 (1975), quoting from *United States v.*

Burr, 25 F. Cas. 30, 35 (No. 14, 692d) (CC Va. 1807) (Marshall, C.J.); *Amoco Cadiz*, 954 F.2d at 1334. Exercise of discretion to deny prejudgment interest in a mutual fault setting, by itself, is inconsistent with the recognized principles that 1) the plaintiff (recovering party) is entitled to be fully compensated, and 2) an award of prejudgment interest compensates the plaintiff (recovering party) for the use of its money between the date of the accident/loss and the date of judgment. When viewed in the context of admiralty law and a comparative fault regime, the exercise of discretion to deny prejudgment interest, based on the mutual (or even greater) fault of the party or parties seeking recovery of interest, is illogical.

- C. **Since the adoption of the rule of true comparative negligence, a rule in admiralty permitting denial of prejudgment interest because of mutual fault has no rational basis and would promote litigation because of uncertainty.**

Petitioner argues that this Court's decision in *United States v. Reliable Transfer Co., Inc.*, 421 U.S. 397 (1975), adopting true comparative negligence in collision cases to replace the long standing rule of divided damages, supports the minority rule that discretion to deny prejudgment interest may be exercised when there is a good faith dispute in a mutual fault setting. The central component of Petitioner's argument on this point appears to be that under the divided damages rule there was certainty as to the amount of damages a defendant would owe, because parties simply added up the damages and divided them by the number of parties at fault, but that under *Reliable Transfer*, by contrast, there is uncertainty as to the amount

of damages a defendant may owe in a comparative negligence regime because its comparative fault cannot be assessed until a trial. Therefore, Petitioner argues, it is unfair to award prejudgment interest when a defendant has chosen to pursue the litigation in order to ascertain that certainty in the form of an allocation of fault.

This central component of Petitioner's argument smacks of the policy underpinnings for courts' historical reluctance to award prejudgment interest upon unliquidated damages. See, *Funkhouser*, 290 U.S. at 168 ("the injured party has suffered a loss which may be regarded as not fully compensated if he is confined to the amount found to be recoverable as of the time of breach and nothing is added for the delay in obtaining the award of damages.") As discussed *supra*, an approach allowing courts to deny prejudgment interest under these circumstances wholly disregards the axiomatic principle that the plaintiff as the injured or damaged party is entitled to be fully compensated. More to the point, this Court decided to abolish the divided damages rule because the rule that the damages of parties to a collision were to be added up and divided equally between those at fault 1) was arbitrary if there was a way to determine the actual proportionate fault of the parties, and 2) did not tend to induce care and vigilance on the part of ships (the policy articulated for maintaining the divided damages rule) any more than did a comparative negligence regime. With respect to the arbitrariness, it is clear that before *Reliable Transfer*, while there may have been greater certainty (if multiple parties admitted to fault) as to the result, that is, the exact measure of the amounts which the parties

would owe, there was little or no certainty as to the correctness of that result.

The replacement of the divided damages rule with true comparative negligence, because the former was patently unjust, amounted to a recognition that a party's actual comparative liability, where such liability can be determined, should control the apportionment of damages. This is in sharp contrast to an arbitrary policy of adding damages and dividing them equally between the parties at fault, no matter what the degree of fault. Since *Reliable Transfer*, once the result is finally determined by the trial court, or an appellate court, there is absolute certainty, based upon a comparative, pro rata percentage, as to the correctness of the result. Then it is fair and just to assess prejudgment interest on the *share of damages attributable to each party based on its proportionate fault*, as opposed to basing the assessment of prejudgment interest on an amount arbitrarily determined under the divided damages rule. For this reason, Petitioner's claim that comparative negligence principles increase the amount of uncertainty, which in turn justifies a denial of prejudgment interest in a mutual fault setting, is an anomaly. Comparative negligence ensures that each party will pay prejudgment interest only on the other's true measure of damages and will receive prejudgment interest only on its own true measure of damages. Each party is fully compensated for its loss. No party sustains a windfall. While the minority rule followed by the Fifth and Eleventh Circuits may have had justification in the divided damages regime, because the courts unilaterally believed that

divided damages was an arbitrary measure of damages,² such a rule has no place in post-*Reliable Transfer* admiralty law and should be eliminated for the same reasons that the divided damages rule was eliminated.

The approach advocated here by Respondents would promote settlements and reduce litigation over prejudgment interest. This Court has already determined that the rule of fairness achieved by true comparative negligence does not appear to discourage the negotiation of settlements in Jones Act personal injury cases. See *Reliable Transfer*, 421 U.S. at 408, n. 13. By the same rationale, it is plausible that a rule prohibiting a court from the exercise of discretion to deny prejudgment interest in mutual fault settings (except where the plaintiff engages in post-accident, inequitable conduct justifying such a denial, discussed *infra*) would serve to encourage settlements and reduce litigation over prejudgment interest.

For example, let us assume that it is claimed that there was mutual fault in a given collision case. If the rule

² Petitioner's assertion that "any court concerned about the inequity of the divided damages rule would be ill-advised to try to use awards of prejudgment interest as a corrective [sic] measure" (Pet. Brief at 29) does not alter the fact that courts were in fact uncomfortable with the arbitrariness of the divided damages rule. Petitioner concedes that such is the origin of the major-minor fault and in-extremis rules, and could well have been the origin of the disinclination of courts to award interest on what they deemed to be an arbitrary, harsh and incorrect measure of damages. It does not follow from the proposition of such action being "ill-advised" that it was not in fact done, and with good justification. See: *Afran Transport Co. v. The Bergechief*, 285 F.2d 119, 120 (2d Cir. 1960); *Iberian Tankers Company v. Gates Construction Corp.*, 504 F.2d 747, 748 (2d Cir. 1974).

were that in all cases of mutual fault a damaged party is entitled to prejudgment interest on his proportionate share of the damages, and if one party who is alleged to be partially at fault for the accident were to settle the case before a trial on the merits, that party actually would be rewarded for settling the case in that he would not be faced with the obligation to compensate the other party for the use of its money from the date of the accident (unless, of course, the parties agreed otherwise), since the matter would not be brought to trial. Where there is a compromise, no party has had the use of the money of another party for the entire period between accident and judgment, or all have considered it and taken it into account when negotiating the compromise settlement.

Put differently, discretion to deny prejudgment interest gives a party in a mutual fault case the incentive *not* to settle. Either party, but particularly the least damaged party, knowing that there may be a finding of mutual fault by the court once there is a trial, can refuse to settle and instead "roll the dice" as to whether the court will later exercise its discretion and deny prejudgment interest. If the trial court does not deny prejudgment interest on the amount of damages ultimately due one party, the paying party is none the worse off for refusing to settle because it has the money (or does not have to pay it) during the intervening time. If the court does decide to deny prejudgment interest, the paying party's gamble "pays off." In this respect, adoption of the discretionary standard advocated by the Petitioner, in the language of this Court, "would be hard to apply, jettisoning relative predictability for the open-ended rough-and-tumble of factors, inviting complex argument in a trial court and a

virtually inevitable appeal." *Grubart, Inc. v. Great Lakes Dredge & Dock Co.*, 1995 WL 68408, 11 (U.S.) (February 22, 1995). Elimination of the discretionary standard in favor of a "bright line" rule which provides for prejudgment interest in cases where there is mutual fault, except for instances of narrowly defined, post-accident, inequitable conduct on the part of the party seeking recovery of prejudgment interest (discussed *infra*), would reduce protracted litigation and would promote settlements.

Petitioner argues that cases involving prejudgment interest on federal claims are a "reliable guide" as to how prejudgment interest should be treated in admiralty, specifically that the discretion to award prejudgment interest should rest in the trial court. (Pet. Brief at 9-10). The cases relied on by the Petitioner in this context are distinguishable for several reasons. First, as discussed *supra*, in admiralty prejudgment interest is the rule, and the discretion is not a *discretion to award* prejudgment interest but rather a *discretion to deny* prejudgment interest where special or peculiar circumstances exist which justify the denial. Admiralty recognizes a standard of presumption in favor of awarding prejudgment interest. The non-admiralty cases cited by Petitioner are distinguishable because the focus upon *discretion to award* prejudgment interest is completely different.

Second, many of the cases, cited by Petitioner as authority for the *discretion to award* prejudgment interest, do not involve a decision to award prejudgment interest in a mutual fault setting, but rather contain dicta which Petitioner takes out of context as support for its argument. For example, *Board of Comm'rs of Jackson County v.*

United States, 308 U.S. 343, 352 (1939), was quoted by Petitioner (Pet. Brief 10-11) as follows:

"[I]nterest is not recovered according to a rigid theory of compensation for money withheld, but is given in response to considerations of fairness. It is denied when its exaction would be inequitable."

Board of Commissioners involved an action brought by the United States on behalf of an Indian ward against the Board of Commissioners of Jackson County, Kansas, to recover back taxes collected by the county on lands which had been patented to the ward under a treaty. At issue was the recovery of interest in inter-governmental litigation. This Court ultimately concluded that interest could not be collected. The passage quoted by the Petitioner was written 55 years ago in the context of an issue as to interest in governmental actions based upon quasi-contractual obligations, not in a mutual fault collision case in admiralty.

Similarly, *Monessen Southwestern Railway Company v. Morgan*, 486 U.S. 330, 339 n. 8 (1988), is cited by the Petitioner as authority for the proposition that the decision of Congress not to enact a prejudgment interest provision in the Federal Employees' Liability Act (FELA) should be taken as an endorsement of a judge-made regime, with heavy emphasis on equitable discretion. Petitioner also relies on the absence of any prejudgment interest provision in the 1982 amendment to the federal post-judgment interest statute, 28 U.S.C.A. 1961 (1994), for the same argument. (Pet. Brief at 15-16). Petitioner's reliance on *Monessen* and the federal post-judgment interest statute reads far too much into the minds of Congress.

Moreover, *Monessen* involved the issue of whether state courts may award prejudgment interest in FELA actions pursuant to local practice. This court held that states may not so award prejudgment interest because federal law does not authorize awards of prejudgment interest in FELA actions and because, when enacting FELA, while Congress expressly dispensed with other common law doctrines of that era, Congress gave no express indication that it intended to abrogate the common law doctrine barring prejudgment interest. *Monessen* deals with state court practices and is distinguishable in interpreting federal law. It is wholly irrelevant to the question presented. By the same token, the federal post-judgment interest statute deals with just that and nothing more. Absent legislative statutory enactment, prejudgment interest is determined by judicial law, which differs substantially from judicial discretion.

- D. Discretion to deny prejudgment interest based on the fault of a party (irrespective of degree) amounts to a penalty under a comparative negligence regime because the fault of the party has already been assessed at the comparative negligence stage.**

Carried to its logical conclusion, Petitioner's argument, that a genuine dispute over liability in a mutual fault collision case justifies an exercise of discretion to deny prejudgment interest, amounts to a penalty being levied against the party seeking interest. The policy basis for the rule that prejudgment interest is to be awarded, absent special or peculiar circumstances justifying a denial, is that a victim deserves to be fully compensated

and prejudgment interest is a component of that compensation without which one party retains the time value of another party's money. When there is mutual fault, principles of comparative negligence operate to assure that both victims are compensated and penalized in accordance with their relative degree of fault, because each party is a plaintiff to the extent that he has been wronged by the other. Even if one party was more at fault than the other party, that party may only recover in proportion to the degree of wrong inflicted on it by the party which was less at fault. Therefore, it matters not what was the relative fault of the parties, since both are entitled to compensation to the extent of the other's liability. There is no loss or gain to either party, regardless of how much more at fault one party is in relation to the other.³

To deny an award prejudgment interest to either party, in such a case, amounts to a penalty, usually upon the party who sustains the greater damages – a factor wholly external to the degree of fault of the party – allowing the party who sustains less damages to obtain a windfall. Such an arbitrary result is precisely the type of “rough justice” this Court sought to eliminate by abrogation of the divided damages rule in *Reliable Transfer, supra*. As such, mutual fault or degree of fault are invalid reasons to deny prejudgment interest because the fault of the parties in causing the collision has already been taken

³ Whether prejudgment interest is assessed upon each party's proportionate recovery and they are offset to achieve a net recovery by one of the parties, or the recoveries are offset and prejudgment interest is assessed upon the resulting balance in favor of one of the parties, the net result in recovery of dollars and cents is the same.

into account in the assessment of liability and allocation of damages. It is reflected in their respective compensation. As succinctly stated by the United States Court of Appeals for the Seventh Circuit, "what is the point of computing the principal amount of damages in intricate detail if the judge may turn around and increase (or reduce) the value of that award . . . on the basis of vague equitable concerns?" *Matter of Oil Spill by the Amoco Cadiz*, 954 F.2d at 1334.

- E. Because the relative degree of the parties' causal fault is now determined under principles of true comparative negligence, a "bright line" rule against denial of prejudgment interest, with an exception limited to where the party seeking interest has engaged in post-accident conduct justifying a denial of prejudgment interest, would be consistent with this Court's prior decisions and decisions of a majority of lower courts addressing the issue.**

A trial court's discretion to deny prejudgment interest should be limited to situations involving inequities arising by reason of actions (or failure to act, as the case may be) *after* the accident/loss by a party seeking prejudgment interest. Clearly, under a comparative negligence regime, everything pre-accident should have been considered in the assessment and allocation of fault in reaching the correct and certain measure of liability and damages. A clear example of such post-accident inequity is laches – recognized by this Court in *West Virginia* as an "equitable consideration" which might bar "an otherwise valid claim for interest." *West Virginia*, 479 U.S. at 311, n. 3.

What is important is the distinction between events which occur prior to the time of the accident/loss when damages are incurred and events which occur after that point to the date of judgment, as those events relate to the issue of the fairness in awarding prejudgment interest. To the extent that the inequitable conduct of a party bears directly on the concept that the party had the use of the other party's money, such as where a party unreasonably delays in bringing the action or obstructs or delays justice by asserting frivolous claims, it is logical and equitable to conclude that the party's own post-accident action or inaction "weakens his equitable claim that his funds have been withheld by a recalcitrant party." *Inland Oil*, 696 F.2d at 328. To allow a court to intermingle the fault of a party in contributing to the cause of the accident (which impacts the measure of liability and consequential damages) with the fault of that same party in taking or failing to take some post-accident action (which impacts his equitable claim that his funds have been withheld by the other party) would effectively alter, reduce or, in some instances, nullify application of comparative fault principles. The only legitimate exercise of a court's discretion to deny prejudgment interest is when a party engages in some post-accident conduct (such as delay in filing suit or including a frivolous claim along with a valid claim) which makes it inequitable to allow him to recover his prejudgment interest because that party is solely responsible for the post-accident, inequitable action and any consequences resulting from it such as delay in the dispute resolution.

Based upon the foregoing, a "bright line" rule against the denial of prejudgment interest in a mutual fault,

admiralty collision case would be appropriate. An exception to such a rule limited to where the party seeking prejudgment interest has engaged in post-accident/loss conduct (i.e., undue delay, assertion of frivolous claims or taking frivolous actions), such that the interests of justice justify a denial of prejudgment interest, would be consistent with this Court's prior decisions as well as the decisions of the majority of lower courts addressing the issue. It would most certainly hold litigation over prejudgment interest to a minimum.

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CONCLUSION

The Judgment of the United States Court of Appeals for the Seventh Circuit should be affirmed.

Respectfully submitted,

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